

Q2 2025

Custom Managed Portfolios

Lazard International Equity

Quick facts

Asset class:

International Large cap

Management style:

Relative Value ¹

Number of holdings:

71

Sub-advisor:

Lazard Asset Management

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

01-Jul-2013



What does the strategy invest in?

The Lazard International Equity strategy seeks to generate strong relative returns over a full market cycle by investing in companies with strong and/or improving financial productivity at attractive valuations. The strategy typically invests in non-US companies, including those from emerging markets, with a market capitalization generally of \$3 billion or greater..

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	5.1%	10.0%	14.7%	15.3%	8.8%	6.1%	6.7%
Benchmark ⁵	6.3%	13.8%	18.0%	18.8%	11.7%	7.7%	7.9%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	12.4%	16.0%	-12.6%	4.8%	9.2%	14.0%	-7.2%
Benchmark ⁵	13.8%	15.7%	-7.8%	10.8%	5.4%	16.5%	-5.6%

Standard deviation	8.7%	Sortino ratio	0.95	Downside capture	107.2%
Sharpe ratio	0.58	Beta (Equity)	0.78	Upside capture	95.9%

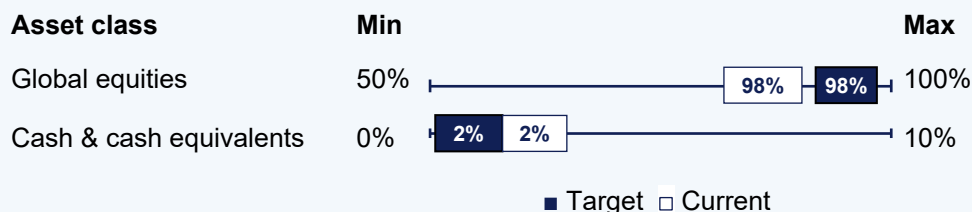
Largest holdings

1. ASML HOLDING NV	3.5%	6. MTU AERO ENGINES AG UNSP ADR	2.3%
2. RELX PLC SPONSORED ADR	2.9%	7. ABB LTD S/ADR	2.3%
3. UNILEVER PLC S/ADR NEW	2.7%	8. PIRAEUS FINANCIAL HOLDINGS	2.2%
4. AIR LIQUIDE ADR	2.5%	9. AON PLC CLASS A	2.2%
5. COMPASS GROUP PLC	2.5%	10. NOVO NORDISK AS S/ADR	2.1%

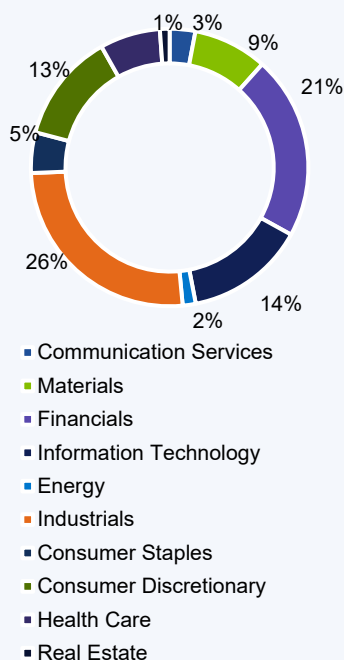
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.1%	18.80	13.80	2.78	2.67	72.55B	94.3%

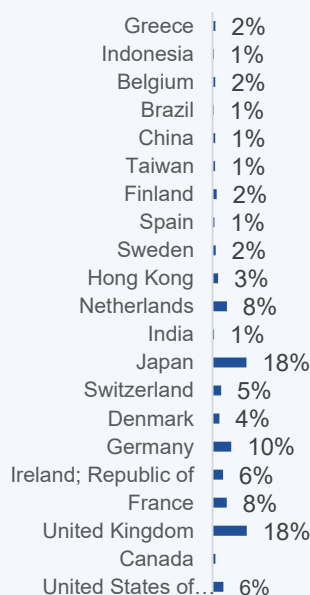
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Equities

North American Markets

Canadian equities advanced firmly during the second quarter of 2025, with the S&P/TSX Composite Index rising by 8.53%. A significant driver of this advance was a broad-based rally, with smaller-cap stocks notably outperforming their large-cap counterparts. The S&P/TSX SmallCap Index soared 11.75%, substantially ahead of the S&P/TSX 60 Index's gain of 7.59%. This expansion in market breadth reflected increasing investor risk appetite and optimism regarding Canada's economic prospects.

Domestic factors played a crucial role in bolstering Canadian equity performance during the quarter. The resumption of U.S.-Canada trade negotiations alleviated market uncertainties, while reduced political risk fostered a more favorable investment climate. This optimism was further supported by resilient consumer spending, robust corporate earnings in the technology sector, and a recovery in financials, particularly as higher interest rates supported bank profitability. Sector performance varied notably throughout the quarter. Information Technology led the way, buoyed by strong earnings results and continued enthusiasm surrounding artificial intelligence and digital transformation themes. Consumer Discretionary stocks benefited from a rebound in consumer spending, while Financials posted healthy gains amid rising interest margins and improved loan growth. Conversely, the Energy sector struggled with declining oil prices, ending the quarter near USD 65 per barrel. Health Care and Communication Services also lagged, weighed down by regulatory headwinds and shifting consumer preferences.

In Canadian dollar terms, domestic equities outpaced U.S. markets, as a strengthening loonie reduced the translation of foreign returns. This relative strength underlines the importance of currency considerations in global investing and highlights Canada's resilient performance amid a complex macroeconomic backdrop.

U.S. equities also delivered strong returns in Q2 2025. The S&P 500 Index advanced by 10.94%, marking one of its best quarterly performances in recent years. The technology-heavy NASDAQ Composite outpaced all major U.S. benchmarks with a remarkable 17.96% gain, driven by outsized gains in mega-cap technology firms and growth-oriented companies.

Investor optimism surrounding the Federal Reserve's potential pivot toward rate cuts later in the year, coupled with easing trade war tensions, fueled risk appetite. High-profile technology giants such as Broadcom and Oracle saw significant price appreciation, with Oracle benefiting from a landmark cloud services deal. The rally, however, was largely concentrated among a narrow group of stocks, raising concerns about market breadth and valuation sustainability.

Sector-wise, Information Technology, Communication Services, and Industrials led the charge, supported by robust earnings and momentum in areas like artificial intelligence, cloud computing, and infrastructure investment. Defensive sectors, including Real Estate and Health Care, underperformed due to rising interest rates and a shift toward more cyclical, growth-oriented investments. Energy stocks also struggled, reflecting a sharp drop in U.S. crude oil prices. The Dow Jones Industrial Average posted a more modest gain of 5.46%, reflecting its heavier exposure to traditional industrial and value-oriented stocks. Small-cap equities, as measured by the Russell 2000 Index, underperformed large-cap peers, advancing by 8.50%. The narrowing leadership among a handful of "Magnificent Seven" tech stocks remained a focal point for investors concerned about market concentration risks.

International Developed Markets

International developed equity markets delivered mixed results during the quarter, with notable performance dispersion across countries and sectors. The MSCI EAFE Index, which tracks developed markets outside North America, achieved a low double-digit gain, supported by declining bond yields and improving trade sentiment.

European equities benefited from a favorable macroeconomic backdrop, including falling inflation and fiscal stimulus measures. Countries such as Israel, Hong Kong, and Portugal stood out as top performers. Israel's robust technology sector staged a strong rebound, while Hong Kong's market rallied on expectations of increased policy support from mainland China. Portugal saw gains driven by strength in its banking and energy sectors.

Conversely, Denmark, France, and Switzerland lagged their developed market peers. Denmark faced challenges from underperformance in its pharmaceutical and renewable energy sectors, while France struggled with softness in luxury goods demand and weaker industrial output. Switzerland's defensive market profile and a strengthening Swiss franc weighed on equity performance, particularly for export-oriented companies.

European markets broadly benefited from investor optimism about improving economic conditions and the potential resolution of global trade tensions. Additionally, easing bond yields provided a tailwind for equity valuations, encouraging risk-taking behavior.

Emerging Markets

Emerging market equities outperformed their developed market counterparts in Q2 2025, with the MSCI Emerging Markets Index climbing 11.99%. This strong showing reflected a combination of favorable macroeconomic trends, improving investor sentiment, and significant country-specific catalysts.

South Korea emerged as a top performer among emerging markets, driven by a rally in semiconductor and battery-related stocks. The global technology upcycle, coupled with strong demand for electric vehicle components, bolstered South Korea's equity market. Mexico also delivered robust returns, supported by steady economic growth, favorable nearshoring trends, and improving investor confidence.

Brazil's market gained on the back of rising commodity exports and signs of easing inflation, which increased the likelihood of interest rate cuts. These developments attracted inflows into Brazilian assets and lifted equity prices.

In contrast, some emerging markets faced headwinds during the quarter. China's equity market underperformed as the anticipated post-pandemic economic recovery lost momentum. Investor sentiment remained cautious amid concerns about slowing growth and ongoing regulatory pressures on key sectors. South Africa and Indonesia also posted weaker returns, reflecting domestic challenges such as energy shortages, currency volatility, and declining commodity prices. Overall, emerging markets benefitted from a supportive global liquidity environment and a weakening U.S. dollar, which eased financial conditions for countries with significant external debt exposure. However, the wide dispersion of returns across countries highlighted the importance of careful country selection and risk management within the emerging markets universe.

Fixed Income

Global fixed income markets produced mixed results in Q2 2025, reflecting divergent economic conditions and monetary policy expectations across regions. Outside North America, the Bloomberg Global Aggregate ex-US Index advanced 7.3%, supported by sharp declines in bond yields across Europe and the United Kingdom. Softer inflation prints and dovish signals from central banks, including the European Central Bank and the Bank of England, contributed to a rally in sovereign debt.

In the United States, U.S. Treasuries also gained, albeit to a lesser extent. The market responded to growing expectations that the Federal Reserve would pivot toward rate cuts in the latter half of the year. The two-year Treasury yield declined sharply, reflecting investors' conviction that monetary tightening had peaked. Longer-dated yields moved within a narrower range, balancing inflation concerns with strong demand for U.S. government debt.

In contrast, Canadian fixed income markets underperformed relative to global peers. The Bloomberg Canada Aggregate Index declined 0.7%, as the Bank of Canada's relatively hawkish stance pushed bond yields higher. The Canadian government yield curve steepened, with the two-year yield rising to approximately 2.59% and the ten-year yield climbing to around 3.27% by quarter-end. Investment-grade corporate bonds delivered a modest positive return of 0.54%, supported by stable credit spreads and shorter durations. However, high-yield bonds suffered significant losses, with the Bloomberg Canada High Yield Bond Index plunging -4.74%. This stark underperformance reflected a combination of rising risk-free rates and widening credit spreads, particularly among lower-rated issuers.

Currencies

Currency markets experienced notable shifts during the quarter, as the U.S. dollar weakened against a broad basket of peers. The U.S. Dollar Index (DXY) registered its longest consecutive monthly decline since 2017, driven by diminished safe-haven demand and expectations that the Federal Reserve had reached the end of its tightening cycle.

The Canadian dollar emerged as a standout performer, appreciating by 5.41% versus the U.S. dollar. This strength was underpinned by Canada's robust commodity export profile, particularly in metals and agriculture, and the Bank of Canada's comparatively less dovish monetary policy stance.

Other major currencies displayed mixed performance. The euro, British pound, and New Zealand dollar faced headwinds from domestic growth concerns and tighter fiscal constraints. By contrast, the Mexican peso and Swiss franc recorded notable gains. The peso benefited from elevated local interest rates and solid economic fundamentals, while the Swiss franc attracted safe-haven flows amid geopolitical uncertainties and rising Swiss yields.

The U.S. dollar's retreat during Q2 2025 provided a tailwind for international equity and fixed income returns when translated into Canadian dollars, enhancing the appeal of global diversification.

Energy

Energy markets experienced significant volatility during the quarter, with crude oil prices relinquishing earlier gains. West Texas Intermediate (WTI) and Brent crude futures fell by 8.9% and 9.5%, respectively, closing near USD 65 and USD 68 per barrel. Early-quarter weakness stemmed from ample global supply and uncertain demand, exemplified by unexpected builds in U.S. gasoline inventories. Geopolitical tensions in the Middle East, including a brief conflict between Israel and Iran, triggered a temporary price spike. However, a swift ceasefire quickly defused risk premiums, leading to sharp price declines.

Market sentiment was further pressured by expectations that OPEC+ would ease production cuts later in the year. Reports of capacity expansions and anticipated supply increases weighed on oil prices. Additionally, concerns about unregulated Iranian crude exports intensified supply-related anxieties. Despite fluctuating geopolitical risks, oil markets remained well-supplied, emphasizing the ongoing sensitivity of energy prices to both policy shifts and demand conditions.

Natural gas prices fell even more sharply, down 16.1% for the quarter. Record U.S. production levels, combined with mild weather and subdued demand, drove prices lower. Although liquefied natural gas (LNG) exports remained strong, they were insufficient to absorb the domestic supply glut. By quarter-end, Henry Hub gas prices settled near USD 3.46 per million British thermal units (MMBtu).

Investment manager overview



Since 1848, Lazard has remained a trusted advisor to governments, financial institutions, public and private retirement plans, and individuals around the world.

Lazard Asset Management is the principal asset management subsidiary of Lazard Ltd., and today represents approximately half of the firm's revenue. With more than 300 investment personnel in 18 cities across 13 countries, Lazard Asset Management offers investors an array of traditional and alternative investment solutions. We believe our global reach, unique identity, diverse product platform, and strong client relationships will allow us to maintain our preeminent position in the marketplace.

Investment philosophy

Lazard's investment philosophy is based on value creation through the process of bottom-up stock selection. Our relative value philosophy is implemented by assessing the relationship between valuation and financial productivity for an individual security. We believe that financial productivity (the return a company generates) measures how effectively a company is putting its shareholders' capital to work – and ultimately this drives valuation. Assessing a company's financial productivity is an important part of our research process, as it is critical to assessing a company's value.

We believe that the best companies often sustain higher levels of financial productivity for longer than the market expects, leading to valuation opportunities and market inefficiencies. We also believe that opportunities exist among companies to improve returns, but less often than investors.

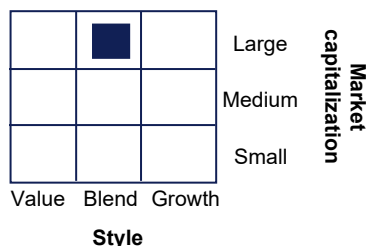
Investment process and risk controls

After the initial research process, stocks are selected by the portfolio management team from the wide range of ideas generated by Lazard's global equity investment professionals. For a stock to be purchased in the strategy, an investment thesis is prepared which typically covers a wide range of factors, such as: business analysis, including direction and sustainability of returns; financial modeling, including accounting validation and detailed valuation work; research edge, and what factors will make the market correct its valuation of the stock; and finally, key investment risks.

This thesis is formally documented but more importantly, it is tested rigorously through discussions with the portfolio management team. The team is usually involved in company meetings and often requires further information and analysis before reaching a conclusion. The portfolio management team and analysts work closely together to build conviction on investment ideas, creating a team culture that helps to optimize decision making.

Lazard uses a three-tiered approach to risk management, which begins during the research process. In addition to accounting validation, the portfolio management team considers corporate governance, the overall macroeconomic environment, as well as political factors that could impact each company considered for purchase

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Relative Value – Investing style that focuses on relative company to competitor value, in addition to absolute and intrinsic value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at June 30, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is MSCI EAFE NR Index (CAD)

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